

Table 1: Stylized facts by state. Panel A reports months, the lagged average G10 three-month yield and money-market rate, the lagged U.S. money-market rate, average CPI inflation (nine currencies, year on year, lagged two months; all %), and the carry trade’s interest rate differential, spot return, and total return (annualized, %/yr), in the full sample, by downcurve regime, and by IYC signal state. Panel B reports the downcurve gap in the full sample, the gap between signal and no-signal months, and the downcurve gap within signal months, with the wild cluster bootstrap p in brackets and stars by that p (regime runs, signal episodes, and signal runs as the respective clusters; $B = 9,999$). States lagged one month; sample 1988:01–2026:02. The tail and coverage statistics by state that the text cites (the share of loss months, the spot leg’s expected shortfall and worst month, and the differential’s coverage of the loss) are computed in the same script and reported in Sections 4 and 5.

State	Months	Rates and inflation (% , lagged)				Carry trade (%/yr)		
		3M yield	G10 rate	U.S. rate	CPI YoY	Differential	Spot	Total
<i>Panel A: means by state</i>								
Full sample	458	3.53	3.65	3.22	2.19	+3.91	+0.27	+4.18
non-downcurve months	406	2.94	3.05	2.71	1.86	+3.69	+0.40	+4.09
downcurve months	52	8.14	8.33	7.19	4.75	+5.62	−0.76	+4.86
No signal	366	2.90	3.02	2.57	1.88	+3.60	+2.85	+6.45
IYC signal	92	6.04	6.19	5.80	3.44	+5.14	−10.00	−4.86
non-downcurve months	57	3.91	4.00	4.55	2.50	+4.31	−15.55	−11.24
downcurve months	35	9.51	9.75	7.85	4.96	+6.48	−0.96	+5.51
<i>Panel B: gaps (wild cluster bootstrap p in brackets)</i>								
Downcurve − other, full sample		+5.21 [0.327]	+5.28 [0.339]	+4.48 [0.188]	+2.88** [0.033]	+1.93 [0.523]	−1.16 [0.845]	+0.77 [0.715]
Signal − no signal		+3.14 [0.184]	+3.17 [0.190]	+3.23** [0.040]	+1.56 [0.104]	+1.54 [0.260]	−12.85*** [0.001]	−11.31*** [0.003]
Downcurve − other, within signal		+5.60** [0.021]	+5.74** [0.022]	+3.29** [0.013]	+2.46** [0.017]	+2.16 [0.487]	+14.59* [0.067]	+16.75* [0.053]